

In bull markets, you'll see price fail to drop more than 5% below the breakout price 19% of the time. I'll discuss failure rates in [Table 41.3](#).

Statistics

[Table 41.2](#) shows general statistics.

Number found. Over several decades of cataloging chart patterns, I found 3,577 head-and-shoulder tops in 1,067 stocks, with the first pattern hiding in July 1991 and the most recent in October 2018. Not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) occurrence. A head-and-shoulders top is a reversal by definition. Price enters the pattern from the bottom and breaks out downward. Thus, price reverses the uptrend.

Average decline. In bear markets, this pattern does well, with declines averaging 23.7%. That's better than the average decline of 22.2% for bearish chart patterns of all types. Bull markets are slightly ahead of the overall average, too, 16.1% (head-and-shoulders) versus 14.9% (for all pattern types). You'll notice I rounded off the numbers in the table, so don't be alarmed.

[Table 41.2](#) General Statistics

Description	Bull Market	Bear Market
Number found	2,847	730
Reversal (R), continuation (C) occurrence	100% R	100% R
Average decline	−16%	−24%
Standard & Poor's 500 change	−2%	−11%
Days to ultimate low	58	43
How many change trend?	29%	52%

Standard & Poor's 500 change. The decline in the general market helped pull down stocks showing head-and-shoulders tops. That's especially effective in bear markets, where the S&P dropped 11%. However, that average drop is less than half what the chart pattern did over the same measurement periods (breakout to ultimate low).